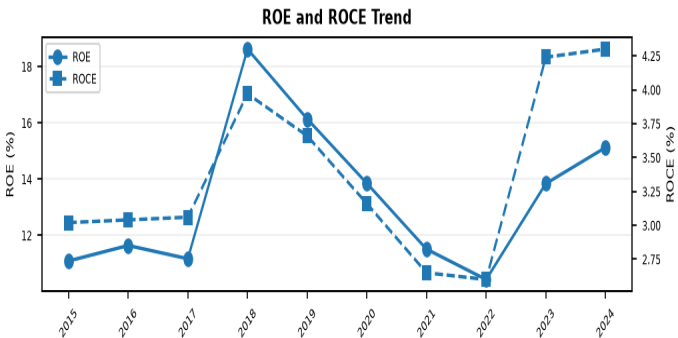
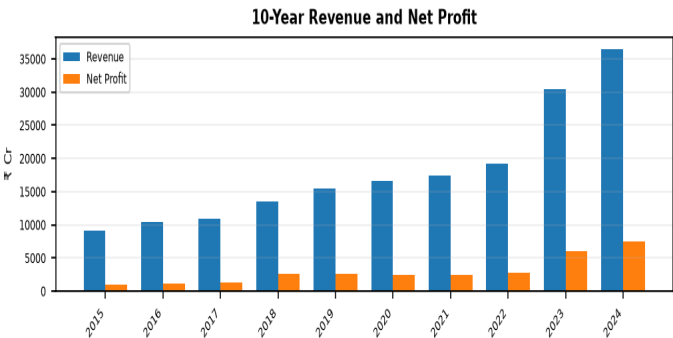
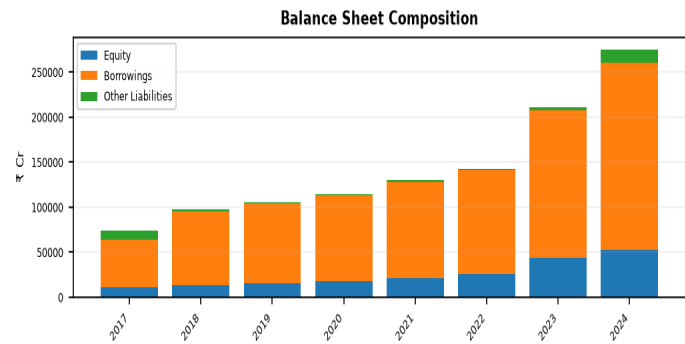


Financials | Business Overview Shriram Transport Finance Company Ltd is a part of the SHRIRAM Group conglomerate which has a significant presence in the financing business. STFC is engaged in t

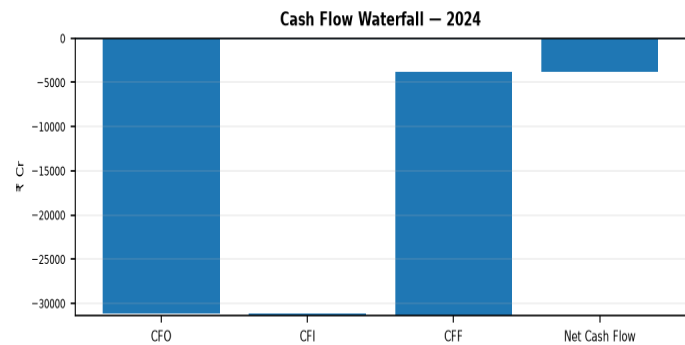
ROE	ROCE	Debt / Equity
15.1%	4.3%	3.99
Revenue CAGR 5Y	PAT CAGR 5Y	Free Cash Flow
18.6%	23.5%	■-31,359 Cr



Balance Sheet Composition



Latest-Year Cash Flow



Pros

- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability

CAPITAL ALLOCATION: Growth Funded by Debt